a development institution, in 1989. Here, she learnt the ropes of leadership from top banker K.V. Kamath, who trusted young officials with key leadership roles. As ICICI transformed into a bank, Buch, who had a way with numbers and worked diligently on her assignments, had new responsibilities coming her way. Her stint with icicidirect.com marked her entry into the capital markets. Later, from 2009 to 2011, she served as MD and CEO at ICICI Securities, before moving to Singapore and later taking on key roles in a few private companies, including Zensar Technologies and Max Healthcare.

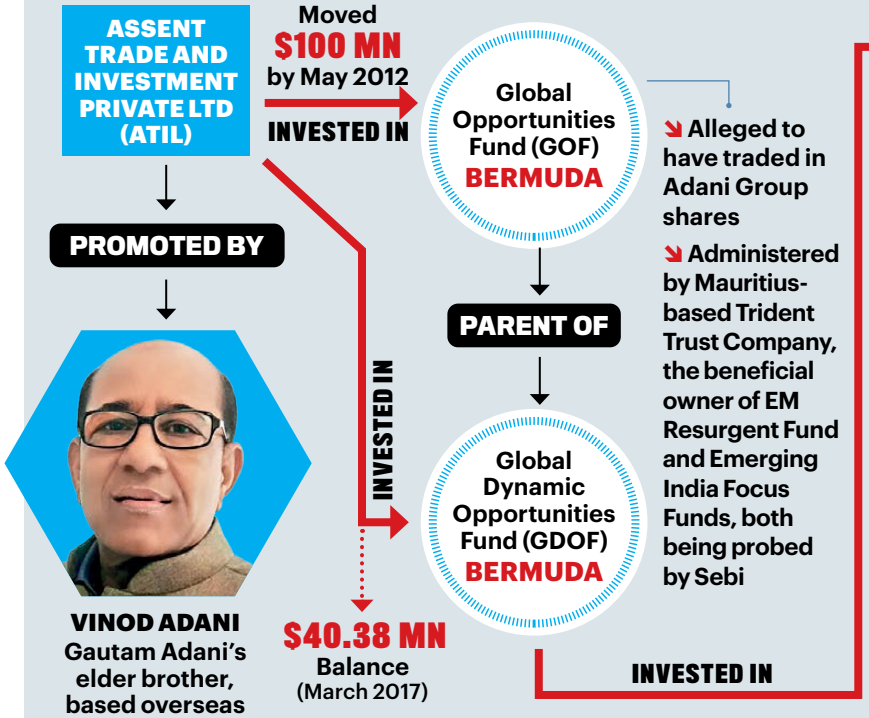
THE WRONG TURN

It was while working in Singapore that Buch and her husband decided to invest in an offshore firm that is today at the centre of the controversy. On June 5, 2015, the couple opened an account with the Mauritius-based IPE Plus Fund founded by Anil Ahuja, a former director of Adani Enterprises and Dhaval's childhood friend and classmate from IIT Delhi. The fund had assets under management of $38.43 million as of December 2017. The conflict of interest, as pointed out by Hindenburg, lay in the fact that the same fund allegedly received investments from a Bermuda-based fund called Global Dynamic Opportunities Fund, promoted by Adani Group chairman Gautam Adani's elder brother Vinod Adani. The fund was also part of the investment structure used by two of the 13 overseas funds being probed by Sebi for opaque fund flows into Adani Group companies during 2016-17, raising another potential conflict of interest.

A month before Buch was appointed as whole-time Sebi director in April 2017, the couple wrote to the fund, saying that Dhaval would henceforth be the sole operator of the account. But in February 2018, while still with Sebi, Buch wrote to the fund from her personal email ID asking that all shares Dhaval held be redeemed. It was in October 2020 that Sebi started the investigation into the Adani funds. "Buch is entitled to make such investments [in offshore entities] as a private person. But the moment she joined Sebi, she should have liquidated these investments or housed them somewhere with full disclosures," says Garg. "Later, when Sebi was asked by the Supreme Court to investigate the investment of offshore firms in Indian companies, Sebi said they had 'hit a wall'... despite its chairperson having entrusted her private money with such offshore firms."

TRACKING THE TRAIL

THE LINKS BETWEEN THE ADANIS AND SEBI CHIEF MADHABI PURI BUCH, AS ALLEGED BY HINDENBURG RESEARCH



The allegations against the Sebi chief could discredit the market regulator, potentially dampening investor appetite in the long run

An e-mail sent to Sebi for a response to the allegations against Buch elicited no response. After the initial response to Hindenburg's allegations, Buch and Sebi had been silent on the controversy, perhaps biding time in the hope that the issue would die down on its own.

Some also think that Buch is being unfairly targeted. "The Hindenburg report was a non-issue because Buch had already disclosed the shareholding in the consulting firm (Agora). The amount they earned was inconsequential," says Shriram Subramanian, founder and MD, InGovern Research Services, a proxy advisory firm. "Regarding the controversy surrounding Adani, how would she know that Vinod Adani or someone else invested in the same fund? She exited in 2018 when she took over as a whole-time member." Similarly, J.N. Gupta, former executive director with Sebi, says the allegations raised by Hindenburg are "non-maintainable and an attempt to tarnish Buch's image without any substance". He credits her and former chairpersons for the robust systems they have put in place. "Sebi has a good reputation. Our trading, risk management, settlement and IPO systems are the best in the world," Gupta says.